Update No. 3 · Manufacturing & Industrial

Strait of Hormuz: 60 Days In

What has actually shifted for U.S. manufacturing — and what hasn't.

Sixty-one days have passed since the closure. The strait has not meaningfully reopened. A brief window from April 8 to April 17 saw partial transit under a ceasefire framework before Iran reasserted control in response to the U.S. naval blockade of Iranian ports. Brent has held above $110 for eight consecutive sessions and closed at $114.66 on April 28.

This is no longer a developing situation. It is a structural one. The questions that mattered in early March — duration, severity, whether the disruption was real — are settled. The questions that matter now are different: what has hardened, what is being repriced, and what U.S. manufacturing leaders should be doing differently in May than they were doing in March.

WHERE THINGS STAND

Strait status	Effectively closed under Iranian control. Selective transit for Iran-approved vessels (China, India, Malaysia).
Brent crude	$114.66 (Apr 28) — eighth consecutive session of gains. Up roughly 47% YTD.
EIA outlook	Production shut-ins peaked at ~9.1M bpd in April. Brent expected to remain above $90 through Q3 2026.
Brent–WTI spread	Peaked at $15/bbl in March — the widest in years. Reflects North American supply insulation.
U.S. naval posture	Active blockade of Iranian ports since April 13. Mine-clearance operations ongoing.
Diplomatic state	Iranian offer on the table to reopen Hormuz in exchange for delayed nuclear talks. Trump signaled dissatisfaction April 28.

WHAT'S ACTUALLY DIFFERENT AT 60 DAYS

The day-one shock was about price and panic. Most operators have adjusted to that. The 60-day picture is about three structural shifts that were not visible in early March and that change the operating environment in ways that won't reverse quickly even if the strait reopens tomorrow.

1. The Brent–WTI spread is now a real cost-of-input advantage.

Through most of the last decade, Brent and WTI traded within a few dollars of each other. The spread has now sat in the $10–15 range for the better part of two months. For U.S.-based manufacturers, that is not a market quirk — it is a structural energy cost differential against

European and Asian competitors that is being baked into 2026 contracts and order flow.

Operators with North American footprint, North American feedstock, and North American power are quietly outpricing competitors abroad on energy-intensive product. That advantage will compress when the strait reopens. The window to convert it into pricing power, market share, or contract terms is finite.

2. Iran banned steel exports on April 26.

Effective April 26, Iran prohibited the export of slab, sheet, and strip steel. Iran is not the largest player in any of those categories, but it is a meaningful supplier into specific Asian and Middle Eastern markets — and those markets are now sourcing elsewhere. The displacement is small in absolute tonnage and large in second-order effects: tighter inventories at U.S. service centers, longer lead times on specialty grades, and renewed pricing pressure on flat-rolled product that was already trending up.

Procurement leaders should expect to feel this before the end of Q2.

3. UAE announced its OPEC exit, effective May.

Easy to miss in the broader news flow, but worth noting: the UAE intends to leave OPEC next month. The stated reason is production flexibility under current conditions. The longer-term implication is that the cartel's coordination authority is degrading at exactly the moment the world is most reliant on Gulf supply discipline. Whatever oil-price stability OPEC has historically provided, expect less of it going forward.

HOW THIS IS IMPACTING U.S. MANUFACTURING

Energy-intensive sectors are absorbing the cost first.

Steel, aluminum, glass, cement, ceramics, chemicals, fertilizers, and pulp & paper all run on natural gas, electricity, or both. U.S. manufacturers in these categories are seeing input costs rise faster than they can be passed through to customers under existing contracts. Margin compression is real and will be visible in Q2 earnings. The operators handling it best are those who built indexed pricing clauses into 2025 contracts or who locked in forward energy positions before March.

Logistics costs have not normalized — and won't.

Ocean shipping has rerouted around the Cape of Good Hope, adding 10–14 days and double-digit percentage increases to inbound logistics costs from Asia and Europe. That is now baked in. Expect freight forwarders and 3PLs to hold pricing well past any eventual reopening; the carriers have repositioned fleets and recouped early losses, and there is no incentive to revert quickly. U.S. domestic logistics is also tighter: diesel is averaging above $5.80/gallon, and trucking margins are passing through in real time.

Capex committees are getting cautious — but selectively.

Two patterns have emerged. Capital projects with offshore exposure (long-lead equipment from Europe or Asia, Gulf-routed feedstock dependencies) are getting paused or reshoped. Capital projects in domestic capacity expansion — particularly in energy-adjacent sectors and in goods that compete with imports newly disadvantaged by shipping costs — are accelerating. The net is not a freeze. It is a redirection toward U.S.-domiciled capacity.

Hiring patterns are bifurcating.

Operators are pulling back on speculative or growth-driven roles and pulling forward on operational depth — supply chain leaders with energy-market literacy, plant managers who have run through cost-shock environments before, sourcing executives with multi-region procurement experience. The roles that get filled fastest in this environment are the ones tied directly to margin defense. The roles that get deferred are the ones tied to expansion narratives.

The talent that has run a P&L through volatility is at a premium.

There is a generational gap in U.S. manufacturing leadership. Operators who ran plants through 2008, who navigated 2020 supply disruptions, and who have direct experience pricing through commodity shocks are disproportionately in their late 50s and 60s. Their experience is exactly what is needed right now, and the bench behind them is thinner than most boards realize. This is the structural hiring story that the current crisis is making impossible to ignore.

WHAT TO WATCH IN MAY

- **The Hormuz-for-nuclear offer.** Iran's proposal to reopen the strait in exchange for delayed nuclear talks is the most concrete diplomatic development in three weeks. If it fails, expect another leg up in Brent and a hardening of every cost dynamic in this brief.
- **Q2 earnings and indexing language.** Watch for how energy-intensive U.S. manufacturers describe input cost recovery and contract renegotiation. The language used in May and June calls will telegraph whether margin compression is being absorbed or passed through.
- **OPEC's response to the UAE exit.** Saudi Arabia's posture in early May will signal whether the cartel can hold any production discipline. If it cannot, expect more volatility — not less — even on news that would normally be price-supportive.
- **Specialty steel inventories.** U.S. service center inventories of specialty flat-rolled product are the leading indicator on whether the Iranian export ban bites. Watch May reports closely.
- **Diesel and the trucking spread.** Diesel above $5.80 is the floor on domestic logistics inflation. Watch for whether it eases with refining capacity coming back online or stays elevated.

The strait may reopen this week or this quarter. The structural changes — repriced freight, redirected capex, harder-to-find operational leadership, a less coordinated OPEC, a meaningfully wider Brent–WTI spread — will not unwind on the same timeline. The decisions being made now in U.S. manufacturing about how to operate, where to invest, and who to put in front of a plant or a supply chain are decisions that will define the next two to three years.

The right read on this moment is not that something dramatic is about to happen. It is that something dramatic already has, and the window for adapting to it is open and finite.